Question 1

Read the following scenario.

You are an audit data analyst performing audit data analytics (ADAs) over plant property and equipment (PPE) for your firm's client Easy-Install Electronics Ltd ('Easy-I'), for the 12 months ended 31 December 20X9. Easy-Install is an online retailer of hand-held electronics with two distribution centres in Derby (England) and Aberdeen (Scotland). This is the first year you have audited Easy-I and you are using your firm's ADAs tool, in particular substantive analytic routines over PPE, to perform an exercise to evaluate the reasonableness of the figures included in Easy-I's PPE register, which is the key supporting evidence for the PPE figures disclosed in the draft financial statements.

In order to compete your work you need to evaluate the outputs of the ADAs tool to identify any potential areas of audit risk and design any further substantive procedures required in order to conclude on any potential identified risk of material misstatement (ROMM) in the financial statements.

The objectives of the exercise and results of initial procedures to confirm the suitability of the data used are as follows:

A Objectives of audit data analytic routine – substantive analytics PPE

The objective of the ADA is to identify any material misstatements within plant property and equipment, including gaining assurance over all assertions (except rights and obligations (R&Os) and presentation). The following routines have been run as part of the audit data analytic tool:

1. Recalculate depreciation charge of each item of PPE based on depreciation policy and any cost/accumulated depreciation to date and compare to the charge recorded in the PPE register
2. Identify any items of PPE with a net book value of zero or lower
3. Identify any new assets greater than £100,000 during the year
4. Identify any assets with duplicate asset identification codes
5. Identify any disposed assets during the period 1 January 20X9 to 31 December 20X9 where proceeds are in excess of or below carrying value
6. Identify any assets with an overall reduction in net book value in excess of the expected depreciation charge for the year

B Cleansing of input data

Data was extracted from the client's system by the audit team using the firm's data extraction tool and did not require any cleansing. The data includes details of all PPE held by Easy-I including asset identification codes, cost, date of acquisition or disposal (including any proceeds), useful life, depreciation rate (reducing balance or straight line), depreciation charge, any impairment or revaluation adjustment and the net book value as at 31 December 20X9.

C Completeness and integrity check of input data

The data has been checked for accuracy, completeness, validity and reliability by the audit team. This included confirming the overall net book value, total number of individual items of PPE, total additions, total disposals, and depreciation charge per the PPE register to the PPE note within the draft financial statements.

The outputs of the audit data analytic routines and flagged assets for review are found within the attached appendix.

You have also extracted the following information from the audit file gathered by the audit team to help with the exercise.

Depreciation policy and revaluation of PPE

Easy-Install has four categories of PPE with the following PPE register codes and depreciation policies

Buildings ('B')	diminishing balance over useful life of asset
Fixtures and fittings ('FF')	straight line over useful life of asset (allowed range 5-10 years)
Vehicles ('V')	straight line over useful life of asset (fixed at 4 years)
Equipment ('E')	straight line over useful life of asset (fixed at 5 years)

A full year's depreciation is charged in the year of addition, but no depreciation is charged in the year of disposal. A revaluation was last performed of all buildings at 31 December 20X8 and there has been no further revaluation performed in the year to 31 December 20X9. An impairment review is carried out by management of all assets and any reductions processed on 31 December.

Questions:

Evaluate the results of the data analytics exercise, where for each asset flagged you:

1. Evaluate any identified audit risk; and

(15 marks)

2. Design relevant substantive procedures to confirm if the asset is recorded correctly within the financial statements

(10 marks)

APPENDIX – results of audit data analytic routine – substantive analytical procedures over property, plant and equipment (PPE) of Easy-Install Electronics for year ended 31 December 20X9

Results and analysis

No	Description	AssetID	Class	Date of acquisition /disposal	Useful Life (years)	Net book value at 31/12/X9 (£)	Reason for flag
1	Derby warehouse	123	B	2/2/20X1 /n/a	25	353,978	(6) Overall reduction in value of £50,000 compared to depreciation charge of £16,159
2	New racking and shelving installation - Aberdeen	294	FF	01/02/20X9 /n/a	10	112,500	(4) Duplicate asset ID recorded in PPE register
3	New racking and shelving -Derby	294	FF	01/02/20X9 /n/a	10	112,500	(4) Duplicate asset ID recorded in PPE register
4	Derby – goods receipt bay and security doors	335	FF	06/09/20X9 / n/a	10	186,000	(1) Depreciation charge for year of £19,500 compared to expectation of £22,500
5	Ford Transit Van – E1 E22	412	V	05/05/20X6 /10/10/20X9	4	0	(5) Proceeds of £2,000 (total) < carrying value of £15,000
6	Ford Transit Van – E2 E22	413	V	07/7/20X7 /10/10/20X9	4	0	(5) Proceeds of £2,000 (total) < carrying value of £27,500
7	Robotic welder and melting installation	594	E	07/09/20X9 /n/a	7	342,857	(3) New asset > £100,000

Question 2

Read the following scenario.

Your audit client, Wilson Stores Ltd ('WS'), recently purchased 100% of the share capital of a competitor, Jones Retail Ltd ('JR'), fully owned by Jim Jones. The deal was concluded on 30 September 20X3 at a purchase price which the directors of WS estimate at around £1,000,000.

The purchase consideration has three separate components:

1. £500,000 cash paid on the purchase date;
2. 30,000 ordinary £1 shares in WS delivered on the same date; and
3. A deferred payment equal to the post-tax profits of JR for the year to 31 December 20X3. It is estimated that this will be £200,000 and would be payable on 30 April 20X4.

The audit partner explained to you that purchases are often structured this way and they have seen it on a number of their previous clients. The key is making sure that sufficient, appropriate evidence is collected to support the total consideration. They also explained that 'contingent consideration', that is payment based on future conditions, should be included as part of the purchase price as long as it is measurable and likely to be paid.

The WS directors estimate that the value of each share in WS on 30 September 20X3 was £10. They are also keen that Jim Jones has an interest in WS as he is critical to the success of the acquisition.

Jim Jones explained to you that the value of the assets in JR at the purchase date was around

£750,000, but the directors of WS believe that approximately £500,000 will be spent refurbishing JR stores to the same standard as WS stores. The directors wish to make a provision for this refurbishment cost.

As audit senior, you have been asked to audit the purchase of JR as part of the audit of WS's investments, within WS's individual financial statements. You are aiming to conclude audit fieldwork by 31 March 20X4.

Question:

Design a list of substantive procedures that you would perform as part of your audit of WS for the year to 31 December 20X3 in relation to the purchase of JR.

(25 marks)